Converting income into wealth

High earnings alone do not guarantee wealth. Keeping outgoings lower than income, accruing savings, and investing them wisely are key to long-term financial security.

How it works

There is no formula to determine how much wealth is enough, or how much income is needed to build wealth. It depends on the individual. High earners tend to have higher lifestyle expectations than those on lower incomes. They must therefore save more, and invest more, to generate the wealth they need to maintain their lifestyle during retirement. The danger for this group is that high wages can lead to a false sense of affluence, resulting in big spending on lifestyle but little set aside in savings.

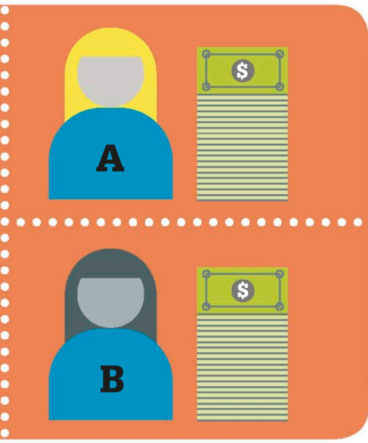
In order to start building wealth, a proportion of after-tax income should be saved regularly. Some financial advisers suggest a goal of one-third.

When a high income fails to produce wealth

A top salary will not ensure a secure retirement if saving habits are poor. To set aside a third of after-tax income each month might seem an impossible target, but even saving as little as 10 percent can create a decent stockpile of cash for investment over time.

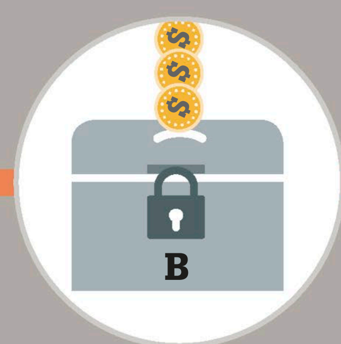
High-income earners

Two senior managers at the same company earn identical salaries. However, they use their money differently, with contrasting results.



Spending levels

High-income earner **A** is accustomed to spending money on goods with little long-term value.



Earner **B** invests in a retirement fund and shares, and saves in a high-interest account.

70% of the richest Americans claim to be self-made